

Before the
FEDERAL MARITIME COMMISSION

Docket No. 25-04

CHINA UNITED LINES, LTD.

v.

AMAZON.COM SERVICES, LLC,

AMAZON LOGISTICS, INC. AND

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.

JOINT STATUS REPORT AND PROPOSED BRIEFING SCHEDULE

Pursuant to the Presiding Officer's direction in the June 12 Order on Pending Motions, Complainant China United Lines, Ltd. ("Complainant" or "China United"), and Respondents Amazon.com Services, LLC ("Amazon Services"), Amazon Logistics, Inc. ("Amazon Logistics"), and Beijing Century Joyo Courier Service Co., Ltd ("Beijing Century") (collectively "Respondents" or "Amazon"), by and through their undersigned counsel, hereby submit this Joint Status Report and Proposed Briefing Schedule.

The parties met and conferred by telephone on July 6 regarding the proposed schedule. The parties do not agree on the best way forward in the proceeding, and their positions are set forth herein.

A. Complainant's Position and Proposed Schedule

As reflected in Complainant's proposed schedule below, China United requests that the matter proceed to an oral hearing. China United respectfully submits that an in-person oral hearing

in Washington, D.C. is necessary because this matter presents genuine disputes of material fact that cannot be resolved on the basis of sworn affidavits, deposition transcripts, or documentary evidence alone. The central question in this proceeding, whether Amazon engaged in fraud or deceit in connection with its purported termination of China United for cause, turns on contested issues of knowledge, intent, and reliance that are not susceptible to resolution on a paper record. The evidence produced in discovery raises these questions, and their fair adjudication will require the Presiding Officer to assess witness credibility and to weigh testimony elicited through direct and cross-examination.

For example, three material factual disputes illustrate why live testimony is essential. First, the parties dispute the circumstances surrounding a gigantic banner displayed by China United at the TraPac terminal in Los Angeles on October 24, 2022 bearing Amazon's name. China United contends that the banner was displayed in a public-facing manner. Indeed, the banner could be seen far and wide, by any passerby on the street, as well as by terminal personnel, stevedores, and truckers picking up cargo from other vessels. There is no dispute that Amazon executives expressly thanked China United for the display and use of the Amazon name, by two separate emails (months before Amazon terminated China United for the very same conduct). Amazon, however, characterizes the event as private and without bearing on the ultimate termination (because to admit that the banner was a public use of the Amazon name would mean that Amazon knew of, and blessed, China United's use of the Amazon name). By thanking China United for the banner, Amazon deceived China United, as Amazon would later assert that a single use of the Amazon name in any public-facing forum was a breach of the service contract between the parties. The fraud and concealment consists of Amazon's failure to disclose its pretextual interpretation of the parties' agreement—permitting CUL's conduct when rates favored Amazon but prohibiting the identical conduct when they did not—while inducing CUL's reliance and performance, and then

invoking that undisclosed position to avoid its service contract obligations.

Second, the parties dispute whether Amazon had contemporaneous knowledge of China United's August 9, 2022 WeChat post which referenced Amazon's name. Amazon maintains that it had no such knowledge, yet has produced no documents substantiating that position and has shrouded its entire purported investigation into China United's use of its name in privilege.¹ The deposition testimony on this point is inconsistent: the witness who claimed to have located the post on April 18, 2023 also testified that he had "no visibility to contracts," yet was somehow able to identify and escalate China United's WeChat post to decision-makers at Amazon. Another Amazon witness testified that finding China United's WeChat post was very easy. These disputes are material because their resolution will determine whether Amazon knew of, and tacitly permitted, China United's use of its name—only to invoke that same conduct as a pretext for termination when it deemed China United's ocean shipping rates no longer favorable, thereby engaging in an unjust or unfair device within the meaning of 46 U.S.C. §41102(a). The existing record reflects that Amazon publicly praised China United on July 4, August 9 and December 8, 2022, touting its reliability, stability, and fast sailings, which further underscores the need to test through live testimony the extent of Amazon's awareness and the degree of China United's reliance on Amazon's conduct. Surely, a party to a service contract cannot expressly permit usage of its name, observe and allow usage of its name, and bless the usage, while rates are favorable, only to cancel the service contract for cause for that same usage when rates are unfavorable. Such behavior is squarely the type of fraud or deceit that the Shipping Act is designed to prevent, as

¹ China United is presently evaluating whether to seek reconsideration of the Presiding Officer's denial of Docket Entry 67, in light of Amazon's apparent waiver of privilege with respect to its investigation by discussing the substance of that investigation in open court during the New York trial related to this proceeding, which occurred on June 16, 2026. To be clear, the waiver testimony referred to is located in the direct testimony affidavit of David Cardadeiro, in which he, for example, refers to an allegedly "thorough" and "multi-stage" investigation into CUL's use of the Amazon name. Amazon has always claimed that this investigation was privileged; Mr. Cardadeiro waived that privilege at trial. In addition, Amazon now makes the investigation a centerpiece of its defense, using privilege as both a sword and a shield.

allowing such behavior would render service contracts largely unreliable.

Third, CUL alleges that the Notice of Termination for Convenience was a binding document that could not be revoked, which Amazon issued as a ruse to buy itself more time to shift cargo away from CUL, to document its intent to terminate for cause, and to use as leverage over CUL. Amazon had no intention of honoring its Notice of Termination for Convenience. Such deceitful behavior is material to this case. Amazon disputes these facts.

China United anticipates calling seven witnesses, with testimony of roughly sixteen hours in total. The Presiding Officer has granted such a request under similar circumstances, where genuine disputes of material fact precluded resolution on a paper record. See *Kobel v. Hapag-Lloyd Am., Inc.*, FMC Dkt. No. 10-06. China United submits the following proposed schedule:

Date	Event
August 4, 2026	Complainant's Motion for Reconsideration of Dkt. No. 67
August 11, 2026	Respondent's Response to Complainant's Motion for Reconsideration
September 1, 2026	[Proposed] Decision re Motion for Reconsideration
September 15, 2026	Close of Discovery
October 16, 2026	Pre-Hearing Briefs Due
October 21, 2026	Oral Hearing
November 23, 2026	Complainant's Proposed Findings of Fact and Post-Hearing Brief Due
December 23, 2026	Respondent's Proposed Findings of Fact and Post-Hearing Brief Due
January 7, 2027	Complainant's Reply Brief Due

B. Respondents' Position and Proposed Schedule

i. Supplemental Discovery

In the parties' meet and confer session China United's counsel stated that it could comply by the "end of the week" with the direction in the June 12 Order that it "supplement its interrogatory response and provide the material or principle facts and documents supporting the contention that Amazon engaged in any act of fraud or concealment with respect to it." June 12 Order at 5. CUL proposes no timeframe for this response in its section of the report, but a July 10, 2026 date consistent with this statement is acceptable to Amazon.

ii. Proposed Summary Disposition Schedule

China United persists in its position that the schedule should not provide for filing motions for summary disposition, even though as noted in the June 12 Order "China United's theory of its case has changed since the order partially granting the motion to dismiss," and it is "not clear that China United's current theory states a Shipping Act claim." Order at 1-2. That Order also noted that it is "not clear how Amazon's marketing and confidentiality restrictions relate to the remaining [Shipping Act] violation," as those "differ significantly from the listed concerns of false billing, false classification, false weighing, false report of weight, and false measurement, which all relate to information provided about the cargo tendered." *Id.*, at 6. *See Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd. ("Samsung Electronics")*, 2025 WL 2207363, at *10 (FMC July 30, 2025) (Section 41102(a) violations have "all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo."). Finally, China United's abandonment of its claim that Amazon induced it to enter a contract Amazon never intended to honor means that its fraud and concealment claims now depend on a predicate showing that Amazon improperly asserted a termination for cause, an issue that "may be more appropriately resolved by the related federal proceeding" pending in the Southern District of New York. *See* June 12 Order at 6.

China United's statement of its position in this report ignores each of these statements in the June 12 Order, and rehashes its arguments that fraud or concealment can be shown by (a) a banner that flew for a few hours on a terminal while Amazon and China United personnel were meeting with the terminal operator; (b) Amazon's supposed knowledge of a WeChat post, and (c) whether Amazon's conduct in terminating the parties' contract was proper. China United aired all these matters at length in briefing the discovery motions resolved in the June 12 Order, and adds nothing here. As the June 12 Order notes, at 6, matters relating to the publicity provision of the contract and Amazon's exercise of its contractual rights differ significantly from the type of fraud and concealment required under 41102(a), and contractual issues must be resolved in the parallel federal contract action.

The June 12 Order did not decide whether China United still had a viable Shipping Act claim "because [that issue] is not briefed." *Id.* at 2. The schedule should provide for motions for summary disposition so that the issue can now be briefed. In addition, there are independent grounds on which China United's claim can be summarily disposed of. China United has not even attempted to make the showing of actual injury necessary to a reparations claim under the Shipping Act. *See* 46 C.F.R. § 41305(b) (reparations awarded for "actual injury caused by a violation of [the Shipping Act]"); *Muhammad Rana v. Michelle Franklin d/b/a/ "The Right Move," Inc.*, Dkt. No. 19-03, 2022 WL 1744905, at *17 (FMC May 25, 2022). Instead, China United's reparations claim is based on re-rating to tariff rates the Amazon cargo it booked and carried under the contract, pursuant to 46 C.F.R. § 530.10(e). Even if this were a proper basis for a reparations claim, and it is not, Your Honor dismissed China United's claim based on that regulation over a year ago. *See* June 6 Order at 20. Further, as noted in Respondents' April 29, 2026 filing, the expert discovery in this case confirms that China United would not be entitled to reparations even under its own legally improper "re-rating" theory, as the applicable contract rates over the period the contract was in effect well exceeded the applicable tariff rates, and because China United's claim of hundreds of millions of dollars in reparations is based

on the purported application of a “placeholder” tariff that bore no relationship to reality, was never intended to be applicable, and was never in fact applicable.

iii. China United states no basis for a “motion for reconsideration”

Although China United did not raise the issue in the parties’ meet and confer session, China United’s draft statement of position states that it is “presently evaluating whether to seek reconsideration of the Presiding Officer’s denial of Docket Entry 67, in light of Amazon’s apparent waiver of privilege with respect to its investigation by discussing the substance of that investigation in open court during the New York trial related to this proceeding, which occurred on June 16, 2026.” *See* p. 3 n.1, *supra*. This presumably means China United is considering seeking rehearing of the June 12 Order’s denial of its motion as to Amazon’s assertions of privilege. China United proposes August 4, 2026 as the date that it will complete this “evaluation” and potentially file a motion.

China United’s claim of waiver is entirely baseless, and the discovery it seeks into Amazon’s legal evaluation of termination for cause is irrelevant. *See, e.g., Roberts v. Legacy Meridian Park Hosp., Inc.*, 97 F. Supp. 3d 1245, 1253 (D. Or. 2015) (“The case law is well settled that disclosing the fact that there were confidential communications between a client and his or her attorney—or even disclosing that certain subjects confidentially were discussed between a client and his or her attorney—does not constitute a waiver by partial disclosure”); *In re Application for Subpoena to Kroll*, 224 F.R.D. 326, 329 (E.D.N.Y. 2004) (privilege extends to the “substance of the meeting” but not “the fact of the meeting itself”). Further, discussion of the investigation at the trial was limited, as Judge Castel had ruled *in limine* that the matter was largely if not wholly irrelevant, and was as follows:

MR. CULLINANE: [China United counsel]: You say in your declaration that there was a six- or seven-week investigation into China United Lines' use of the Amazon name. I'm just wondering how is it that you don't know how long the investigation took?

MR. JOHNSON [Amazon counsel]: Your Honor, you ruled on this in the pretrial motions. I object to this.

THE COURT: I'm going to allow the witness to answer the question. I think the question is: How is it that you do not know whether it was a six- or a seven-week investigation? That's the question.

THE WITNESS: I mean, in general frame, it took us about six to seven weeks to investigate. The complete timeline I believe was seven weeks by the time we actually gave CU Lines the notice. The actual investigation might have been six weeks, had a deliberation, and then ultimately gave that to CU Lines.

THE COURT: Thank you. Next question. Mr. Cullinane, anything else?

MR. CULLINANE: I'm trying to shorten my --

THE COURT: Sure, I understand. Appreciate it.

MR. CULLINANE: The letter for termination for cause, why did you send that letter?

MR. JOHNSON: Object to the extent it calls for a legal conclusion or that it will disclose attorney/client privileged information.

THE COURT: One moment, please. No, I'm going to allow the witness to answer. Why did you send the letter?

THE WITNESS: We ultimately reached the conclusion that they violated our contract. And we felt we had cause to terminate for cause.

THE COURT: Next question.

* * *

MR. CULLINANE: Okay. Do you know who it was within Amazon that did the translation work in that six or seven weeks to investigate the usage of China United Lines' use of the Amazon name?

THE WITNESS: I don't know who specifically. We ultimately turned this over to our legal department and they ran a thorough investigation, and I believe in that process they sought translation.

MR. CULLINANE: Was there reason that Amazon didn't use its own Chinese employees to do those translations?

THE WITNESS: Again, we handled this with our legal department for a full investigation and they took the right -- took the course of action to validate what had happened or not happened.

MR. CULLINANE: Were you in charge of this investigation?

THE WITNESS: I was not in charge of the investigation. Again, we turned it over to our legal department.

MR. CULLINANE: Got it. So why did you end up being the person to send the letter of termination for cause?

THE WITNESS: I'm an authorized signatory for Amazon.

June 16, 2026 Tr., at 126-28, 130-31.

There is no basis to suggest that this testimony, *to which Amazon objected*, waived anything. China United also cites to two words in written testimony describing the fact of the privileged investigation; these likewise offer no colorable basis for any claim of waiver, much less the extensive waiver that China United seeks time to consider. China United's proposed schedule also seeks to impermissibly extend the time to seek reconsideration of the matter. *See, e.g., Andrew v. Marine Transport Logistics, Inc.*, 2021 WL 2826352 at *1-2 (ALJ July 2, 2021) (Wirth, J.) (denying as untimely motion for reconsideration of order filed more than thirty days after the order it sought to overturn). The schedule need not and should not provide for this unnecessary delay.

iv. Requested Hearing and Proposed Hearing Schedule

Amazon believes that this proceeding can be disposed of on numerous grounds that do not require the resolution of any material facts as to which there is any genuine dispute. In the event Your Honor determines there are any such facts, Amazon believes that they could be resolved by a relatively brief in-person hearing tailored to their resolution. China United proposes a hearing with seven witnesses offering testimony of roughly sixteen hours in total. While the scope of any hearing would be based on whatever facts might remain to be resolved, Amazon believes that it would not take this length of time. By way of comparison, the related litigation between China United and Amazon in the Southern District of New York, where China United called four witnesses, was tried to the court

in a single day spanning approximately six hours, including a lunch break. Amazon anticipates calling a single fact witness and its rebuttal expert witness if a summary disposition motion is denied as to both liability and damages issues. Amazon of course reserves its right to call additional witnesses depending on issues that may be raised and found by Your Honor to be pertinent to the proceeding.

Amazon proposes the following schedule.

Date	Event
July 10, 2026	Deadline for China United to Provide Its Answer to the Contention Interrogatory
August 7, 2026	Deadline to File Any Motion for Summary Disposition
September 4, 2026	Deadline to File Any Opposition Brief
September 18, 2026	Deadline to File Any Reply Brief
October 16, 2026	Pre-Hearing Briefs Due
October 21, 2026	Oral Hearing
November 23, 2026	Complainant's Proposed Findings of Fact and Post-Hearing Brief Due
December 23, 2026	Respondent's Proposed Findings of Fact and Post-Hearing Brief Due
January 7, 2027	Complainant's Reply Brief Due

WHEREFORE the parties request that the Presiding Officer enter an Order resolving the parties' conflicting briefing requests and setting a briefing schedule in this proceeding.

Respectfully submitted,

July 6, 2026

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/s/ John Longstreth

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 6th day of July 2026, a true and correct copy of the foregoing **Joint Status Report Regarding Proposed Briefing Schedule** was served via electronic mail on:

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